

Reference date for all information is **July 1st 2015**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

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1. Overview of the tax-benefit system

Unemployment insurance is compulsory for every insured employees, private entrepreneurs and business partners specified in Act LXXX of 1997 on the Eligibility for Social Security Benefits and Private Pensions and the Funding for These Services (hereinafter: SSE), except pensioners entitled to draw pensions on their own right (and further persons specialised in SSE). Unemployment benefit is paid for a maximum of 90 days.

Social assistance is the ultimate financial aid available. Non means-tested family and child-care benefits are available for parents raising a child. In addition, specific means-tested child-care benefits may be claimed as well. Benefit supporting the costs of home maintenance can be provided by the local government upon the decision of the representative council (képviselő-testület).

The tax unit is the individual.

1.1. Average Worker wage (AW)

The AW value for 2015 HUF is 3 172 122.

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2. Unemployment insurance

Applicable statutory basis: Act IV of 1991 on Job Assistance and Unemployment Benefits.

Basic principles: Based on principles of social insurance, financed by employers' and employees' labour market contributions and central state budget subsidies, providing earnings-related benefits to employees.

Field of application: All insured employees and private entrepreneurs business partners specialised in SSE except employed pensioners entitled to draw pensions on their own right and further persons specialised in SSE.

The National Employment Service is the administrative body of the employment system. It consists of the Ministry for National Economy, the county government offices and the micro-region government offices of the county government offices .

Program name in local language		Álláskeresői járadék
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 360 days in previous 3 years
Waiting period (days)		0
Maximum duration (months)		90 days
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	60%
	benefit at the end of legal entitlement period in % of calculation base	60%
	Calculation base(2)	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	No, suspension of benefit for short-term employment (<90 days, from the 13 th of July 2015 it is: <120 days) and seasonal employment
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	0
	contract type	0
	other	0

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2.1 Conditions for receipt

2.1.1 Employment conditions

Main conditions:

The person is eligible for job-seekers benefit if fulfils the following criteria:

- is as job-seeker registered at the PES;
- co-operates with the PES;
- wishes to find employment, but his efforts to find a job have not succeeded and the PES is unable to offer suitable employment;
- does not carry out gainful activity (as employee or entrepreneur); is not entitled for old-age pension, rehabilitation annuity or benefits for persons with changed working capacity, does not pursue studies as a full-time student.

2.1.2 Contribution conditions

Qualifying period: payment of contributions for at least 360 days during the previous 3 years qualifies for jobs-seekers' benefit. The job-seeker is granted job-seeker benefit for 90 days. (It is worth to say, that a tax-paying period can be taken into respect only once).

The labour market contribution paid by the employee is 1.5 per cent of his/her base for social security contributions. (Employers and insured private entrepreneurs pay social contribution tax, of which in 2015 85,46% is transferred to the Pension Insurance Fund and 14,54% is transferred to the Health Insurance Fund.)

2.2 Calculation of benefit amount

2.2.1 Calculation of the base of job-seeker benefit

The amount of job-seekers' benefits shall be calculated on the basis of the average monthly sum comprising the labour market contribution base that the job-seeker has earned during the four calendar quarters before the time when the application for job-seekers' benefit was submitted. If the application for job-seekers' benefit is handed in later than the time when the job seeker was registered, the amount of job-seekers' benefits shall be calculated on the basis of the average monthly sum comprising the labour market contribution base that the job-seeker has earned during the four calendar quarters prior to becoming a job-seeker. In the process of calculating the average monthly sum, the amount of the contribution base earned during this period shall be divided by the number of months during which the job-seeker had any income comprising part of the contribution base. If the contribution base of a job-seeker for a given month does not cover the entire month, it shall be taken into consideration as a fraction of a month for the purposes of calculating the average monthly sum.

The amount of job-seeker benefit shall be 60 % of the base of job-seeker benefit, whereas its upper limit shall be 100% of the amount of the minimum wage on the first day of eligibility for job seeker benefit (105 000 HUF/month).

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Those claiming job-seeker benefits may not pursue any gainful activity. The only two exceptions are short term employment for up to 90 days (from the 13th of July it is 120 days), and occasional employment

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and seasonal employment. During the time of short term employment, the benefit ceases to be payable (must be suspended). Payment of job-seeker benefits shall be discontinued if the job-seeker is engaged in short-term gainful activities, not to exceed ninety days (from the 13th of July 120 days), provided the notification obligation (to the PES) was satisfied.

2.3 *Tax treatment of benefit and interaction with other benefits*

Job-seeker benefits are subject to the full range of income taxation. The pension insurance contribution is 10 %, and the years on benefit count as qualifying period for pension calculation purposes. The benefit is not subject to health contribution (and therefore the claimant will not receive in-kind benefits e.g. sick pay for disease during the benefit period).

2.4 *Benefit duration and waiting periods*

One day of job-seeker benefit is paid for every 10 days of insurance contribution period, up to a maximum of 90 days.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No specific rules for young persons.

2.5.2 *Older workers*

Older job-seekers are entitled to pre-pension job-seekers' allowance as presented under session 3.

2.5.3 *Others if applicable, including disabled*

Entrepreneurial benefits were cancelled from the 1 of January 2010. From this date the provisions for job-seeker benefit refer to entrepreneurs as well.

3. Unemployment assistance

The pre-pension job-seekers' allowance based on Act IV of 1991 on Job Assistance and Unemployment Benefits.

3.1 Conditions for receipt

3.1.1 Employment conditions

Those job-seekers are eligible for the pre-pension job-seekers' allowance who

- meet the requirements of the job-seekers' benefit (as detailed in 2.1.1);
- received job-seekers' benefit for at least 45 days and the period of payment of benefit comes to an end, or their job-seekers' benefit was terminated due to employment and they are not entitled again to job-seeker benefit,
- shall reach retirement age in not more than 5 years, or within 3 years after the termination of the job-seeker benefit,
- is not receiving benefit prior to retirement age, service benefit for armed forces, life annuity for ballet artists, or transitional annuity for miners,
- has a sufficient contribution period for retirement (normally 15 years);
- fulfils the mandatory retirement age within 5 years.

3.1.2 Contribution conditions

See under 2.1.1.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The benefit is 40% of the minimum wage. Job-seekers' allowance shall be provided until the job-seeker gains eligibility for old-age pension or for benefits for persons with changed working capacity.

3.2.1.1 Irregular additional payments

Not relevant.

3.2.1.2 Obligations of family members

Not relevant.

3.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Pre-pension job-seekers' allowance is suspended for the period during which the recipient performs a wage-earning activity (regardless its length).

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3.3 *Tax treatment of benefit and interaction with other benefits*

Pre-pension job-seekers' allowance is not subject to taxation. 10% pension contribution is deducted from the pre-pension job-seekers' allowance

3.4 *Benefit duration and waiting periods*

Pre-pension job-seekers' allowance shall be provided until the job-seeker gains eligibility for old-age pension or for benefits for persons with changed working capacity

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

Not relevant.

3.5.2 *Older workers*

Not relevant. (The Pre-pension job-seekers' allowance is specialised for older workers)

3.5.3 *Others if applicable, including disabled*

Not relevant.

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4. Social assistance

Program name in local language		Foglalkoztatást helyettesítő támogatás
Minimum age condition for social assistance receipt		18
Legal behavioural requirements	Registration as unemployed(2)	Yes
	Participation in integration measures	Yes
	Active job search(2)	Yes
	Work requirement(2)	Yes
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Up-rating mechanism of the benefit		Depend on the minimum old-age pension, which is usually revised yearly, competency of government; no revision in 2015
Other supplements to basic benefit (per family)		No
Means-test for social assistance	Earnings disregards	No
	Benefit withdrawal rate with regard to earned income	n.a.
	Assets included in means test?	Yes
	Other benefits included in the means test	All other except special types of income defined by the Social Act e.g. extraordinary benefits, benefits for housing and medical purposes, benefits of health impaired persons.
Benefit provision (eligibility (E), generosity (G)) varies with	age	n.a.
	family situation	n.a.
	over time	n.a.
	other	n.a.

Benefit for people in active age:

It is provided within the social assistance scheme in order to ensure a minimum standard of living for those, who are not employed (except of those in public employment, simplified employment or carrying

out household work), and who are in active age (18 – retirement age). The eligibility is depending on the income of the family. The benefit for persons in active age has no time limit.

There are two groups of persons entitled to benefit for persons in active age:

- a) Persons capable of performing work are entitled to **employment substituting support (ESS, “foglalkoztatást helyettesítő támogatás”)**. Persons who belong to this scope are obliged to cooperate with the Public Employment Service and to take part in public work. For the period of public work, wage is paid (at least the minimum wage of the public work). The employment substituting support is paid, when the person is not involved into public work or training. The entitlement to the benefit is terminated in case the person cannot prove that in the previous year (s)he pursued a gainful activity, or took part in a training programme or in a labour market programme for at least 30 days. When social assistance is included in the modelling, the person is assumed to remain entitled to the benefit throughout their unemployment spell.
- b) Persons incapable of performing work are entitled to **benefit for people suffering from health problems or taking care of a child (BHTC, “egészségkárosodási és gyermekfelügyeleti támogatás”)**. Persons eligible are the health impaired, as well as persons who bring up a child under 14, and the attendance of the child at an institution providing daily care is not ensured. The calculation of benefit for people suffering from health problems or taking care of a child is determined on the grounds of the composition and income of the family.

4.1 Conditions for receipt

Those entitled to benefit for persons in active age are those who have completed their 18th year of age, and:

- a) Have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %, or whose state of health is assessed by the complex assessment of the rehabilitation authority at 50% or less), or are in receipt of blind persons’ annuity or of disability assistance.
- b) Being unemployed, but no longer entitled to income supplement for the unemployed (or not entitled for income supplement at all, in this case a certain period of cooperation with the public employment service is needed)

and having no alternative source of living.

A person does not have alternative source of living, if the family’s monthly income per consumption unit does not exceed 90 % of the minimum old-age pension (applies to both, ESS and BHTC). The definition of consumption unit: see 4.2.1

Only one person in a family can be eligible to the benefit for persons in active age, except for the case when two claimants are entitled to different cash benefits (one person is entitled to ESS (*foglalkoztatást helyettesítő támogatás*), the other to BHTC (*egészségkárosodási és gyermekfelügyeleti támogatás*). Given the small proportion of the eligible population who receive BHTC, the modelling focuses on ESS, and so only one member of the family is eligible for social assistance.

Persons who are entitled to ESS are obliged to cooperate with the Public Employment Service and to take part in public work.

The benefit can be received at the same time with other social benefits or incomes.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The **monthly amount of the employment substituting support (ESS)** is a fixed lump-sum payment equal to 80 % of the minimum old-age pension (22 800 HUF). The sum is independent of the family composition and paid as long as the family's monthly income per consumption unit does not exceed 90 % of the minimum old-age pension for the period of work wage is paid (at least the minimum wage of the public work, the gross amount of which is 79 155 HUF).

The **benefit for people suffering from health problems or taking care of a child (BHTC)**, which is not considered in the tax-benefit model) is calculated with the help of "consumption unit", which shows the structure of the family. Instead of a fixed amount, the benefit depends on the income of the family. The income of the family is supplemented to 92 % of the minimum old-age pension per consumption unit.

The BHTC is calculated as follows:

$SA = (0.92 * \text{minimum old age pension} * \text{consumption unit}) - \text{household income}$

The **consumption unit** is as follows:

- The first adult: 1.0 (+ 0.2, if he/she is a single parent)
- Spouse or partner: 0.9
- First and second child: 0.8
- Third and other children: 0.7
- Disabled child: 1.0 (if there are disabled and healthy children, the first healthy child counts 0.8).

If the first adult or the spouse (partner) is receiving disability benefit, they count 1.0+0.2, or 0.9+0.2

The amount of the BHTC is limited: the maximum amount is the 90 % of the net minimum wage of the public work, 46 662 HUF in 2015. In case in one family two types of cash benefits (BHTC and ESS) are paid, the total amount of the two cash benefits cannot exceed 90 % of the net public employment minimum wage.

As for the eligibility in the family to the benefit for people in active age, please see point 4.1.

4.2.1.1 Irregular additional payments

The benefit claimant may receive another supports [e.g. local benefit (települési támogatás), public health care card system (közgyógyellátás)] if he/she complies with the conditions of the measure.

4.2.1.2 Obligations of family members

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

Various benefits and allowances for persons suffering from serious health damage, such as blind person's annuity or disability assistance etc. do not count as income. Benefit recipients are allowed to perform temporary work (casual work), but the income is calculated in the benefit amount.

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In the **household income** special types of income defined by the Social Act e.g. extraordinary benefits, benefits for housing and medical purposes are not included.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to taxation

4.4 *Benefit duration and waiting periods*

No time limit. It depends only on the way of discontinuing

The unemployed person's social assistance can be re-applied within 36 months from expiring, without fulfilling the preliminary collaboration obligation (if the other entitlement conditions are existing).

4.5 *Treatment of particular group*

No.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable, including disabled*

Those people, who have lost at least 67 per cent of their working ability (or has a health impairment of at least 50 %, or whose state of health is assessed by the complex assessment of the rehabilitation authority at 50% or less), or are in receipt of blind persons' annuity or of disability assistance, are entitled to benefit for people in active age regardless of previous cooperation with the public employment service.

5. Housing support

Benefit supporting the costs of home maintenance can be provided by the local government upon the decision of the representative council (képviseelő-testület)

See 12.1.

Hungary has to face with the challenges of population ageing, which is likely to have serious macroeconomic consequences in the long run. To manage issues related to ageing population, the Family Housing Subsidy (CSOK) Programme is an adequate measure, as the CSOK is not only a lump sum subsidy, but a demographic focused programme as well. In general, Hungarian couples would like to bring up 2-3 children, however, due to different obstacles their plan fails in many cases. Regarding Family Housing Subsidy, Government's purpose is that the housing issue does not be such a big obstacle for the couples in the future.

Family Housing Subsidy is a non-refundable subsidy for purchasing a residential dwelling or building or buying a family house or for enlarging the flat-area of the owned family house. Until 1st January 2016 the subsidy was determined by the number of children, the energy class of the dwelling and the flat-area of the dwelling. The amount of the subsidy could vary between 0,5 and 3,25 million HUF.

6. Family benefits

The Hungarian family support system is a universal scheme, thus every Hungarian national, long-term residents, migrant workers or refugees who are parents (foster and stepparents as well) or guardians (including foster home managers), and who have children up to a certain age (23), may be entitled to various family support benefits, besides newly married couples are entitled to tax allowance. These benefits are financed out of the central budget. The family support system provides:

- family allowance,
- family tax base allowance
- regular child protection allowance
- family tax allowance for first marriages

Families in need are entitled to regular child protection allowance

Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments.¹

Program name (local name in parentheses if available)		Family allowance (Családi pótlék)	Family tax base allowance (családi szja és járulékkedvezmény)	Subsidized meals through child protection allowance	Supplement to Family allowance (Családi pótlék)	Family tax allowance for first marriage (első házasságok kedvezménye)
Type of benefit		Universal	Targeted	Targeted	Universal	Targeted
Eligibility criteria	Age limits for children up to and including (in parentheses if student)	18 (23)	18 (23)	18 (23)	18 (23)	-
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No	No	No	No	It shall be the first marriage for at least one of the parties. They are entitled until

							they become entitled to family tax allowance
Up-rating mechanism of the benefit			Annual, based on the Annual Act on State budget	The allowance in the case of two children will be doubled from 2016 until 2019. Otherwise no up-rating.	Annual, based on the Annual Act on State budget	Annual, based on the Annual Act on State budget	No up-rating
Benefit amount	Benefit amount per child varies with (where +/- denotes increase/decrease : +++/--- above proportional, ++/-- below proportional, +/- variable, 0: no effect)	Age of child	0	0	0	0	0
		Number of children	+++ for second, third, then ++	+++ for third child, then ++	++	+++ for second, third, then ++	0
	Earnings disregard		n.a.	n.a.	No	n.a.	n.a.
	Withdrawal rate		n.a.	n.a.	Fully withdrawn as soon as above HUF 28500 (x1.3) per month	n.a.	n.a.
	Assets part of means test?		No	No	No	No	No

6.1 *Conditions for receipt*

General eligibility for every parent raising a child to family allowance. This benefit is provided from birth up to compulsory schooling age as child raising benefit (nevelési ellátás) and from schooling age until the termination of studies in compulsory education system (usually 0-18 years), then for secondary school education or vocational training, up to 20 years of age, or 23 years in case of special educational needs as schooling benefit.

The family tax base allowances reduce the tax base of parents raising child(ren) and the tax allowance for first marriages reduces the tax base of the newly married couples.

Families in need are entitled to regular child protection allowance.

She/he is entitled to regular child protection allowance if the per capita monthly income in the family looking after the child does not exceed 140% (in 2015: 39 900 HUF) of the prevailing lowest amount of old-age pension, in case of single-parent families, or the child is permanently ill or seriously disabled, or if the child is more than 18 years old and attending to secondary or higher education, in any other case if the per capita monthly income in the family looking after the child does not exceed 130% (in 2015: 37 050 HUF) of the prevailing lowest amount of old-age pension.

(The aim of determining such an entitlement is to justify that the child according to his social conditions is entitled to get the normative allowance of daily meals, free of charge textbooks and other support).

Local assistance is paid for families with temporary cash flow problems or facing emergency situations that seriously threaten their standard of living.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Family allowance: (the amounts remain same as in 2008)

- | | |
|--|-----------------------|
| • for one-child family: | 12 200 HUF, |
| • for one-child, single-parent family: | 13 700 HUF, |
| • for two-children family: | 13 300 HUF per child, |
| • for two-children, single parent family: | 14 800 HUF per child, |
| • for families with three or more children: | 16 000 HUF per child, |
| • for single parent families with 3 or more children: | 17 000 HUF per child, |
| • for families with severely ill or disabled child: | 23 300 HUF per child, |
| • for single parent families with severely ill or disabled child | 25 900 HUF per child, |
| • in case the child concerned is in foster home: | 14 800 HUF |
| • in the case of full aged disabled child: | 20 300 HUF |

The **family tax base allowance** reduces the personal income tax base of parents raising child(ren). The gross monthly amount of the deduction is 62 500 HUF per child in case of one and two children and 206 250 HUF per child in case of three or more children. In net terms it means 10 000 HUF per child for families with one child or two children, and 33 000 HUF per month per child for families with three or more children. The allowance can be claimed by either of the parents, or can be split between the parents. From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.

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The tax base allowance for first marriages reduces the personal income tax base of the newly married couple. The gross monthly amount of the deduction is 31 250 HUF per couple if it is the first marriage for at least one of the parties but until they become entitled to family tax allowance. In net terms it means 5 000 HUF for maximum 2 years. The allowance can be claimed by either of the couple, or can be split between the couple.

In the framework of **regular child protection allowance** a benefit in kind (voucher, in the value of 2 x 5 800 HUF, for the bearer who is a pensioner or entitled to old-age allowance, 2 x 8 400 HUF in 2015), subsidized meals for children and other kinds of support are provided. Each year the amount of the support will be established by the Parliament, in the act on the budget. Besides the regular child protection allowance, the bearer is entitled to a cash benefit of 6 270 HUF/month/child. It is connected to the child protection allowance (rendszeres gyermekvédelmi kedvezmény), former regular child protection support (rendszeres gyermekvédelmi támogatás). It is dedicated to a special target group: the bearers (or guardians), who receive a pension, a pension-like benefit, or old-age allowance. That means that parents are not eligible to this benefit. The eligible persons are usually the grandparents as guardians.

Local assistance: the amount is designated by decree of the respective local government.

6.2.1.1 *Irregular additional payments*

There's no irregular additional payment.

6.2.2 *Income and earnings disregards*

See 6.1.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not subject to tax

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

Single parents and parents with severely ill or disabled child are entitled to higher amounts of benefits. (see 6.2.1.)

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7. **Childcare for pre-school children**

Participation rates in kindergarten (school year 2015/2016):

• Under 3 years	12.4 %
• 3 years	84.3 %
• 4 years	95.1 %
• 5 years	96.2 %
• 6 years	60.5 %
• 7 years	3.5 %.

In numbers, it means 11 146 children under 3 years and 309 866 children between 3 and 7 years.

Family daycare

The family daycare is a service where one licensed provider can look after 5 children (or 7 if there is a full-time assistant) in the provider's home or at another suitable place.

One of the reasons for introducing family daycare for children (családi napközi) in Hungary was to offer an option - to those smaller settlements where there are not many young children and it is not feasible to maintain a nursery - which is flexible enough to meet different needs and demands. Compared to center-based childcare, family daycare services can care for a wider age-group (children between 6 months and 14 years of age) and smaller numbers with lower costs.

Establishing family daycare has served two goals: 1) to provide an alternative solution to nurseries, kindergartens and after-school care, complementing their capacities and increasing the number of children in ECEC services; and 2) to help parents of young children to enter the labour market, while creating jobs. The size and operation based on family life of family daycare providers make them especially suitable even for the smallest settlements.

Their flexibility significantly contributes to coordinating the needs of families and work places, to creating jobs in the neighborhood (community) and to running services, which cost less than maintaining nurseries and kindergartens. In family daycare the families are entitled to pay jointly for the daily meals (catering) and nursing.

According to the National Statistical Office data, there were 1 395 family daycare services in 2015, providing altogether 9 074 places in the country.

7.1 Out-of-pocket childcare fees paid by parents

The Act XXXI of 1997 on the Protection of Children includes the rules for calculating parental fees for children's meals and the available normative support (discounts).

At the centre-based institutes providing the day-time provisions for children the care is free of charge, families have to pay only for the meal. The average fee is approx. 8 000 - 10 000 Ft/person/month. The basis of the calculation: the cost of the daily raw material for one person. From 1st of January 2012 the service provider has the opportunity to request parental fees for children's care in nurseries.

Under the current rules there are three groups based on the fee payable for the meals:

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- those receiving free meals
- those paying 50% of cost
- those paying full cost.

Free of charge meals are provided for children entitled to regular child protection allowance in nurseries, kindergartens, primary schools and day care services for disabled people. Free of charge meals are also provided for children receiving care and young adults receiving after-care in the child protection system from July 1st 2015.

In general in the nurseries families have to pay only for the daily meals, unless the operator of the nursery prescribes otherwise. Upon this scenario, the families will be entitled to pay for the daily meals and nursing too. In 2015 43% of the nurseries determined a fee for their nursing services, which meant an additional expenditure of HUF 5,800/month for the families' budget. However the families' expenditure is reduced by the extended free meal opportunity in nurseries which will come into effect from 1 September 2015. In 2015 15% of the children were eligible for free meal in nurseries.

After children suffering from permanent disease or being seriously disabled or those living in families with 3 or more children, or children who are eligible for "regular child protection allowance" and already finished their studies in primary school, but study further in some other school full-time, the families are entitled to pay 50% reduced fee for the daily meals.

From 1 September 2015, by the amendment of the Child Protection Act, approx. further 172.000 children in nursery and kindergarten will become newly eligible for free catering:

- children who are living in families with a monthly per capita income less than 130% of the minimum wage and not eligible for "regular child protection allowance", and
- healthy children living in families with a child suffering from permanent disease or being disabled.

Catering fee discount of 50% will increase to 100% in case of about further 53.000 children in nursery and kindergarten

- who are suffering from permanent disease or being disabled, or
- living in families with 3 or more children.

About 330.000 to 335.000 children will be entitled to free catering in nurseries and kindergartens.

According to the data of the National Statistical Office, approx. 37 000 children attend nurseries (ECEC services for children under the age of 3). All of them (100%) receive meals in the nursery. 18% receive free meals, and 16% pay only 50% of the cost. Based on the data, about one third of children attending nurseries receive some support for the cost of meals. 316 486 children received meals in kindergarten, among them 88 830 received it free of charge. From 1 September 2015, about 330 000 to 335 000 children will be entitled for free catering in nurseries and kindergartens.

As a specific item of the national central budget, free catering for children in need during summer break has been financed through tenders for the local governments since 2002. In 2015, about 134 000 children in need receive summer catering. The amendment of the Child Protection Act to be applied in the 2016 spring break for the first time, makes it obligatory for the local governments to ensure free catering for children in need during all school holidays (total of 70 days per year) and during the closing times of nurseries and kindergartens.

The fees are not tax deductible.

The liability for social support gives possibility for reduction of the fees.

The law on the national budget regulates the financing source of free or reduced cost meals and the amount of the normative support for this purpose.

7.2 *Child-care benefits*

Birth grant is a universal benefit provided for every mother (or adopting parents) right after giving birth. Infant care fee is insurance-based, for the period of the maternity leave, namely 24 weeks (4 weeks before, 20 weeks after planned date of birth, or 24 weeks after the date of birth, as the choice of the mother). Child care fee is insurance based, provided after the period of infant care fee as long as the insurance period of the parent takes, but maximum to the age of 2 years of the child. Child care fee Extra benefit package was introduced on 1 January 2014. Its objective is to ensure that to have children should not exclude individuals from the labour market. Child care allowance (provided also for grandparents): entitlement is universal, providing flat-rate benefit to all residents. As a general rule, the benefit is provided until the age of 3 years of the child. In case of twins, the benefit is provided until the twins enter into primary education. In case of a child being severely ill or disabled, the benefit is provided until the age of 10 years of the child. Child raising support: entitlement is universal, providing a flat-rate benefit, provided that there are three or more minor children (being under the age of 18) raised in the family. The benefit shall be provided from the age of 3 years of the youngest child until she/he reaches the age of 8 years. The beneficiary can pursue a gainful activity up to 6 hours a day or without time restriction at home.

Regular child protection support dissolved into the family allowance, the families in need are entitled to **regular child protection allowance** (see section 6).

Families having temporary cash flow problems or facing emergency situations that seriously threaten their standard of living may ask for local assistance (önkormányzati segély) from the local governments (see section 6).¹

7.2.1 *Conditions for receipt*

Birth grant is conditional upon that the mother completed at least four prenatal medical examinations (one in case of premature birth).

Infant care fee is provided if the insured mother (or adopting mother, or in certain cases (e.g. the mother deceased) the father) was insured for at least 365 days during the last two years prior to childbirth and gave birth to the child during being insured or within 42 days after having been terminated the insurance or during paid sick-leave.

Conditions of the child care fee: the parent has to be insured, and needs at least 365 days of insurance during the last two years before delivery, the child lives with the claimant's family, and one of the parents is obliged to stay at home and care for the child. Child care fee Extra benefit package: after the 1st birthday of the child, parents receiving child care benefits (child care fee or child care allowance) can pursue a gainful activity without time limit. Mothers who are not entitled to child care fee due to the lack of a gainful activity, but who have completed at least two active semesters in higher education are entitled to child care fee until the child reaches 1 year of age. Fathers are entitled to this form of child care fee if the mother dies or is not entitled to the benefit. The parent does not lose entitlement to child care benefit, even if during the eligibility period of the benefit a new child is born (applicable to children born after 31 December 2013). In this case, the parent is allowed to apply for benefit with regard to the new child, and is allowed to keep the former benefit, as well. In case of twins the eligibility period of child care fee is extended by a year. That means that child care fee can be granted up to the third birthday of the children.

Child care allowance: for parents who care for their children aged under 3 years (aged under 10 for disabled children) or for grandparents who care for their grandchildren older than one year in the household of the parent. In case of twins the allowance is paid until children will reach the compulsory schooling age (usually 6 years). Above 1 year of age of the child, the parent can work without time restriction (the child can be in a formal childcare centre without losing the allowance). The parent of twins above 1 year of age can decide to work full time, in this case (s)he receives only the general amount of the child care allowance. In case (s)he chooses to work no more than 30 hours a week, (s)he is entitled to the higher amount dedicated to twins. The grandparent cannot pursue a gainful activity under 3 years of age of the child, while above 3 years, the beneficiary can pursue a gainful activity no more than 30 hours a week, or without time restriction at home.

Multiple child care benefits (infant care fee, child care fee, child care allowance) can be claimed in case of having more than one child within the eligibility period, provided that the youngest child in the family was born after 31 December 2013.

Child raising support: see 7.2.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Birth grant: one off lump-sum payment, 225% of the minimum amount of old-age pension per child or 300 % of the minimum of old-age pension per child in case of twin-children.

Infant care fee: 70% of the daily average gross earnings of the previous year.

Child care fee: the amount of benefit is defined as 70% of the daily average gross earnings of the previous year, with a ceiling of 70 % of the double of the minimum wage (147 000 HUF in 2015).

Child care fee Extra - in case of mothers on student status: generally 70% of the minimum wage (73 500 HUF) or in the case of BA or PhD studies: 70% of the guaranteed wage minimum (85 400 HUF).

Child care allowance: the amount equals to the monthly minimum old age pension (in 2015: 28 500 HUF), irrespective of the number of children in the family. In case of multiple birth, the amount is multiplied according to the number of children.

Child raising support: the amount, irrespectively to the number of children in the family concerned, equals to the minimum old age pension.

7.2.2.2 Income and earnings disregards

There are no disregards.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

1. Birth grant is not taxable income
2. Infant care fee is disbursed on an insurance basis and is proportionate to earnings, and therefore counts as taxable income and interact with child care allowance and child care fee (claimed not for the same child). Taxes levied on entire income.
3. Child care fee is disbursed on an insurance basis, and is proportionate to earnings, and therefore counts as a taxable income and can interact with child care allowance and infant care fee (claimed not for the same child). Pension contribution must be paid as the disbursement period is qualifying period for pension.

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4. Child care allowance is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.
5. Child raising support is not taxable income. Pension contribution must be paid as the disbursement period is qualifying period for pension.

7.2.4 *Treatment of particular groups, including disabled*

See above.

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8. Employment-conditional benefits

None.

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable, including disabled

9. Lone-parent benefits

See 6.2.1.

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable, including disabled

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10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Family tax allowance: For families having children, the basis of income tax can be reduced by the family tax allowance, which amounts to HUF 62,500 per month for each dependent child (for families having one or two children), or HUF 206,250 per month for each dependent child (for families having at least three children). From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the allowance.¹ From 1st January 2015 for newly married couples (where it's the first marriage for at least one of the parties) the basis of income tax can be reduced by HUF 31,250 per month for one person of the couple for 24 months.

10.1.1.2 Standard tax credits

Personal Tax Credit of severely handicapped individuals: a person suffering from certain diseases, or who receives disability benefits may deduct 5 per cent of the minimum wage (HUF 5,075) from the tax on the consolidated tax base every month. The tax credit is non-wastable.

Tax Base

The tax base shall comprise the income after deductions (costs, family tax allowance) made according to PIT Act.

10.1.3 State and local income taxes

In Hungary there is no local personal income tax system supplementing the central one. More precisely, until 2013 the total income tax collected was split between the central government and local governments. From 2013 the total income tax is part of the revenue of the state, due to the redistribution of local tasks between the local governments and the state. At the same time, the local governments can still levy taxes on sites and buildings, tourist facilities and business activities.

10.2 Treatment of family income

The tax unit is the individual. Spouses are taxed separately. However, the family tax allowance can be split between spouses.

¹ This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

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10.3 Social security contributions and payroll taxes

Public burden on gross incomes in 2015	
Paid by the employer	Paid by the employee
Social contribution tax: 27% Vocational contribution: 1,5%	Pension contribution 10%
	Health insurance and labour market contribution 8.5% = 4% in-kind health ins.contr. + 3% in cash health ins.contr. + 1.5% labour market contr.
	Personal income tax: 16 %

10.3.1 Contributions payable by employees and benefit recipients

Pensions

The employee's individual pension contribution is 10 %. The upper limit of the employees' contribution has been ceased from 1 Jan 2013.

From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the family tax base allowances.²

Sickness

The rate of health security contribution amounts to 7 per cent of gross earnings.

From 2014 employees' pension contribution and health insurance contribution also serve as a basis of the family tax base allowances.³

² This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

³ This means: families whose combined PIT base is not sufficient to claim the maximum amount of the family tax allowance can deduct the remaining sum from the 7 % health insurance contribution and the 10 % pension contribution.

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Unemployment

The worker must pay, as employees' contribution, 1.5 per cent of gross earnings.

Note: Only earned income is liable to job-seeker benefit and sickness contributions. That is, workers pay 17.5 per cent and unemployed pay 10 %.

10.3.2 *Contributions payable by employers*

Pensions

Sickness

Unemployment

Instead of employers' pension insurance contribution, employers' health insurance contribution and labour market contribution, employers shall pay social contribution tax since 1 January 2012. Only the name and the legal nature have changed, the rate (27%) has remained the same. The revenue from social contribution tax is divided among Pension Insurance Fund and Health Insurance Fund.

10.3.3 *Payroll taxes*

The training contribution amounts to 1.5 per cent of salaries paid.

10.4 *Treatment of particular group*

The Government adopted measures to promote labour demand by announcing the Job Protection Act (JPA). The new measures provide tax incentives for employers.

The incentives targeting employers in the JPA focus on the employment of groups in respect of which Hungary's employment figures show the largest divergence in international comparison. These are also the groups that are in the worst labour market position and which have high labour supply flexibility, such as persons below 25 or above 55 years of age, unskilled persons (elementary occupations), long-term unemployed as well as mothers with small children (returning to the labour market after maternity leave). After the employment of such persons employers are eligible for SSC deductions up to the income ceiling of HUF 100 thousand per month.

Up to HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons younger than 25 years or older than 55 years of age and workers employed in unskilled and agricultural positions. If the employee below 25 years of age is also a career starter, the employer is exempted from all of these taxes in the first two years of employment. Similarly, two years of full exemption is available in respect of employees considered to be long-term unemployed (who have been registered as unemployed for over 6 months) and persons hired after having received child care fee or during or after the disbursement of child care allowance or child raising support. For this groups, a 50% tax reduction applies to the third year as well (which translates into a tax rate of 14%). In case of three or more children three years of full exemption and two years of 50% tax reduction is available for persons returning to the labour market after maternity leave.

From 2015 the tax reliefs for parents with small children have been widened under the Job Protection Act. In case of those employees, who are working part-time, from 2015 onwards, there will be no rule of

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proportion. This means that irrespective of the working time, in case of the employment of parents with small children the tax relief can be validated up until 100 thousand HUF gross monthly income,.

The tax allowances are available both in respect of newly hired and current employees, thus they act as incentives for job creation and job retention at the same time.

10.4.1 Young persons

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons younger than 25 years. If the employee below 25 years of age is also a career starter, the employer is exempted from all of these taxes up to HUF 100 thousand in the first two years of employment.

10.4.2 Older workers

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of employing persons older than 55 years of age.

10.4.3 Others if applicable

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 14% in the case of workers employed in unskilled positions.

Up to a tax base of HUF 100 thousand per month the aggregate 28.5% rate of the social contribution tax and the vocational training contribution payable by the employer is reduced to 0% in the case of workers employees considered to be long-term unemployed (who have been registered as unemployed for over 6 months)⁴ and persons hired after having received child care fee or during or after the disbursement of child care allowance or child raising support. For this group, a 50% tax reduction applies to the third year as well (which translates into a tax rate of 14%). For families with three or more children the duration of the latter tax break is longer (100% reduction in the first three years and 50% reduction in the fourth and fifth year of employment).

⁴ Note: Since there is no assumption on the length of previous unemployment of a person in the TaxBen model, this variation has not been implemented.

11. Part-time work

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

Part-time workers pay the same social security contributions as full-time workers, a contribution calculated as a per cent of earnings. With the revision, and afterwards the abolishment (as of 2009) of the fixed amount health care contribution, tax burden on employers is proportional to hours worked.

Act CXXIII/2004 introduced a **reduced social security contribution for employers** in case of part-time (re)employment of a mother receiving child care benefit and employing parallel the substitute also part-time. Employer is entitled to reduced contribution. Instead of 27 % social security contribution, he can pay only 20% social security contribution in case of part time employment of both employees.

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12. Policy developments

12.1 Policy changes introduced: 2nd July 2014 – 1st July 2015

Pensions and benefits prior to retirement age:

The system for persons employed in jobs hazardous to health also changed in 2012 in line with the other early pension measures, but in the case of early retirement due to hazardous working conditions, the former rules were applied until December 31st 2014. These types of pension benefits have been ceased from 1 January 2015, thus the contribution payment for these benefits are also ceased from the same date of effect. This change in legislation has the following interpretation. From 1 January 2015 there is no possibility to gain new entitlement for persons employed in jobs hazardous to health, although persons employed in such profession who have gained entitlement will continue to receive their former benefit as a benefit prior to retirement age (korhatár előtti ellátás).

Annual adjustment of pensions and benefits prior to retirement age is according to the predicted increase in consumer prices (inflation) in January. 1.8% increase in January 2015.

Benefits for people with changed working capacity

From 1st January 2015 the amounts of the disability and rehabilitation benefits increased by 1.8%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

Social assistance system:

From 1st March 2015 several changes were introduced in the social assistance system. The essence of the changes was to divide clearly the local governmental and state responsibilities in this field.

The benefits the provision of which was classified as a state responsibility are the following:

- benefit for people in active age
- old-age allowance
- nursing fee (except for the local form of nursing fee)
- public health care card system (except for the local form of public health care card system)
- certificate for health services.

The rules of following benefits were repealed from the Social Act. That means that the central regulation of these benefits ceased. Instead of these benefits the local governments have the authority to define the types and eligibility criteria of the benefits they provide:

- home maintenance support,
- local form of nursing fee,
- local form of public health care card system,
- debt management support.

The name of the support provided by local governments is uniformly 'Local Benefit'. The local government is entitled to decide the forms, eligibility criteria and amount of the provisions provided in the frame of local benefit. The only obligation of the local authority is to provide extraordinary local benefit

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for those who are in exceptional life status that threatens their existence or struggling temporarily or permanently with troubles of existence.

The local governments who do not have enough resources for the tasks regarding social benefits are entitled to a support from the central budget.

Benefit for people in active age

From 1st March the **district office is the competent authority** regarding the benefit (instead of the head of the local administration).

The rules of **employment substituting benefit** have not changed.

The benefit provided for those incapable of performing work is the **benefit for people with health impairment or taking care of a child** (*egészségkárosodási és gyermekfelügyeleti támogatás*) from 1st March 2015.

The entitlement to benefit for persons in active age had to be revised until 28th February in case of those who received regular social benefit.

Those who were entitled to the regular social benefit because of:

- their health status or
- taking care of young children

became entitled automatically to **benefit for people with health impairment or taking care of a child**.

The amount of the new benefit is calculated in the same way as in the case of regular social benefit; the only difference is that the family income limit is 92% of the minimum old-age pension per consumption unit instead of 90%.

Those who are entitled to the regular social benefit because of:

- their age or
- who satisfies the entitlement conditions defined by the decree of municipality according to family, health and mental conditions

could become entitled to **employment substituting benefit**.

As from 1st January 2015 the gross public employment minimum wage amounts to 79 155 HUF. Since the maximum amount of the benefit for people suffering from health problems or taking care of a child is connected to the public employment minimum wage (90% of the net public employment minimum wage), the maximum amount of the benefit increased to 46 662 HUF (instead of 45 569 HUF in 2014).

Family benefits

The pregnancy-confinement benefit has been renamed to infant care fee from 1st January 2015.

Since 2015 for couples married for the first time, the basis of income tax can be reduced by HUF 31 250 per month for one person of the couple for 24 months at maximum, but until they become entitled to family tax allowance.

Housing support

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From 1 July 2015 the Family Housing Subsidy (CSOK) will be available for purchasing used apartments or for expanding existing ones by families with one infant only besides those with two or more children. Before 1st July 2015 the subsidy could only be used for buying a new dwelling or building a new family-house.

Tax system

Family tax base allowances are extended from 2014: besides personal income tax, employees' pension contributions and health insurance contributions also serve as a basis of the allowance.

Employers' social security contributions – up to 100 000 HUF gross wage per month per employee – can be reduced by 100% in the first three years, and by 50% in the fourth and fifth year of employment of a parent who has three or more children, and who returned to the labour market while receiving child care benefit, or after the benefit has been ceased (before 2014, the reduction of the contribution was 100% in the first two years and 50% in the third year).

Moreover, the tax reliefs for parents with small children have been widened under the Job Protection Act from 2015. In case of those employees, who are working part-time, from 2015 onwards, there will be no rule of proportion. This means that irrespective of the working time, the tax relief can be validated up until 100 thousand HUF gross monthly income, in case of the employment of parents with small children

Treatment of particular group

From 2015 the scope of people entitled to family allowance was broadened so that foster parents and legal guardians have also become entitled.

The budgetary institutions are not eligible for the JPA tax allowances anymore (however in net terms they were not beneficiaries of this scheme before either).

Minimum wage

In 2015 the minimum wage was 105 000 HUF/months.

12.2 *Future policy changes announced since 1st July 2015*

Personal income tax

From 2016 the personal income tax rate decreased from 16% to 15%.

Family tax allowance

Family tax allowance will be raised for families with two children: between 2016 and 2019 the amount will be doubled in four steps.

Free catering for children

From 1 September 2015, by the amendment of the Child Protection Act, approx. further 172.000 children in nursery and kindergarten will become newly eligible for free catering:

- children who are living in families with a monthly per capita income less than 130% of the minimum wage and not eligible for “regular child protection allowance”, and

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- healthy children living in families with a child suffering from permanent disease or being disabled.

Catering fee discount of 50% will increase to 100% in case of about further 53.000 children in nursery and kindergarten

- who are suffering from permanent disease or being disabled, or
- living in families with 3 or more children.

About 330.000 to 335.000 children will be entitled to free catering in nurseries and kindergartens.

The amendment of the Child Protection Act to be applied in the 2016 spring break for the first time, makes it obligatory for the local governments to ensure free catering for children in need during all school holidays (total of 70 days per year) and during the closing times of nurseries and kindergartens.

Benefits for people with changed working capacity

From 1st January 2016 the amounts of the disability and rehabilitation benefits increased by 1,6%. The annual rate of increase of these benefits corresponds with the annual rate of increase of old age pensions.

Social assistance system:

The maximum amount of the benefit for people suffering from health problems or taking care of a child is connected to the public employment minimum wage (90% of the net public employment minimum wage). As from 1st January 2015 the gross public employment minimum wage amounts to 79 155 HUF. The amount of the gross public employment minimum wage has not changed from 1st January 2016, but because of the amendments of tax regulation (the proportion of personal income tax has been reduced from 16% to 15%) the amount of the net public wage has changed, thus the maximum amount of the benefit increased to 47 374HUF (instead of 46 662 HUF in 2015).

Housing support

From 1st January 2016 those who have at least three children or those married couple who commit to expanding their families to three children will be eligible for HUF 10 million in non-refundable subsidies for buying or building a new home (earlier the ceiling on subsidies was HUF 3.25 million, the maximum commitment that could be made is 2 children). They will also be eligible for an additional HUF 10 million loan at a preferential interest rate of 3%.

The extent of subsidy no longer depends on energy efficiency of the new house from now. In case of commitment of children one member of the married couple can be above 40. Applicants with a criminal record are excluded from the program.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, benefits prior to retirement age, benefits for persons with changed working capacity disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.

¹ See point 12.1.: From 1st January 2014 three forms of social assistances (temporary assistance, funeral assistance and irregular child protection support) merged, since all of these benefits have the same goal: to provide help to families who are in a crisis situation. The new benefit is called local assistance.